

SUPERIOR COURT OF CALIFORNIA, CONTRA COSTA COUNTY
MARTINEZ, CA
DEPARTMENT 16
JUDICIAL OFFICER: BENJAMIN T REYES II
HEARING DATE: 01/21/2026

**INSTRUCTIONS FOR CONTESTING TENTATIVE RULING IN
DEPARTMENT 16**

The tentative ruling will become the ruling of the Court unless by 4:00 P.M. of the Court day preceding the hearing, notice is given of an intent to argue the matter. Counsel or self-represented parties must email Department 16 (Dept16@contracosta.courts.ca.gov) to request argument and **must specify, in detail, what provision(s) of the tentative ruling they intend to argue and why**. Counsel or self-represented parties requesting argument must advise all other counsel and self-represented parties by no later than 4:00 P.M. of their decision to argue, and of the issues to be argued. Failure to timely advise the Court and counsel or self-represented parties will preclude any party from arguing the matter. (Pursuant to Local Rule 3.43(2).)

The prevailing party must prepare and e-file a proposed order after hearing in accordance with CRC 3.1312. The order must include appearances. If the tentative ruling becomes the Court's ruling, a copy of the Court's tentative ruling **must be attached to the proposed order** when submitted to the Court for issuance of the order.

ALL APPEARANCES TO ARGUE WILL BE IN PERSON OR BY ZOOM, PROVIDED THAT PROPER NOTIFICATION IS RECEIVED BY THE DEPARTMENT AS PER ABOVE.

Zoom link-

<https://www.zoomgov.com/j/1619504895?pwd=NOV1N3JFRnJ0TEVoSDNrTGRzakF3UT09>

ID: 161 950 4895

Password: 812674

Courtroom Clerk's Session

1. 9:00 AM CASE NUMBER: C25-02393

CASE NAME: TOM SPIES VS. IRA HARRIS

***CASE MANAGEMENT CONFERENCE**

FILED BY:

TENTATIVE RULING:

This Case Management Conference (CMC) Trails the Motion for Preliminary Injunction, Line. 13, which is continued to February 11, 2026 at 9:00 a.m.. Counsel are ordered to appear remotely or in-person for the CMC on February 11, 2026. No appearance is required on January 21, 2026.

2. 9:00 AM CASE NUMBER: C23-01038

CASE NAME: DELVAN KITCHING VS. CARYN CASS

***FURTHER CASE MANAGEMENT CONFERENCE**

FILED BY:

TENTATIVE RULING:

This Case Management Conference (CMC) Trails the Discovery Motions, which were vacated on Lines 16, 17, 18. This CMC is vacated and continued to July 20, 2026 at 8:30 a.m. No appearance is required on January 21, 2026.

Law & Motion

3. 9:00 AM CASE NUMBER: C23-00867

CASE NAME: STEPHEN STICKA VS. MARIA SANCHEZ

***HEARING ON MOTION IN RE: LEAVE TO FILE FIRST AMENDED COMPLAINT**

FILED BY:

TENTATIVE RULING:

Before the Court is Plaintiff Stephen Sticka's Motion for Leave to File First Amended Complaint ("Motion").

Plaintiff's motion is **granted** as discussed below.

Factual Allegations and Procedural Background

This matter pertains to a motor vehicle accident that occurred on May 17, 2021. According to the Complaint, on that date Plaintiff was stopped at a red light on Monument Boulevard crossing Oakmead Drive in Concord, California. When the light turned green, Plaintiff drove forward and entered the intersection. It is alleged that Defendant was driving along Oakmead Drive, ran the red light, and struck the rear passenger side of Plaintiff's vehicle. Defendant then fled the scene, speeding down Monument.

Plaintiff followed the fleeing vehicle but could not keep up. He did, however, call 911 as he followed and provided dispatch with the license plate number for the vehicle.

Plaintiff filed his complaint on April 17, 2023. On March 18, 2025, Defendants filed a motion for summary adjudication directed toward Plaintiff's prayer for punitive damages. On October 14, 2025, the Court issued an order granting Defendant's MSA.

Plaintiff contends that during discovery Defendant failed to timely provide complete responses to discover, so he filed a motion to compel. After the motion was granted, Defendant provided amended responses on July 16, 2025. It was only at this time that Plaintiff's counsel became aware of new facts which support a new cause of action, namely a negligence entrustment cause of action. There are also some additional factual allegations added to the intentional tort/intentional infliction of emotional distress cause of action, which remains from the original complaint. Plaintiff filed the instant motion to amend on December 9, 2025 – almost 5 months later.

Standard

Code of Civil Procedure § 473(a)(1) provides the Court discretion to permit a party to amend its pleadings. There is "a policy of great liberality in permitting amendments to the complaint at any stage of the proceedings, up to and including trial [citations]..." (*Magpali v. Farmers Group* (1996) 48 Cal.App.4th 471, 487.) Leave to amend can be denied where there is "'inexcusable delay and probable

prejudice to the opposing party'... [Citation.]" (*Ibid.*) "[I]t is a rare case in which 'a court will be justified in refusing a party leave to amend his pleadings so that he may properly present his case.'" (*Morgan v. Superior Court of Los Angeles County* (1959) 172 Cal.App.2d 527, 530 quoting *Guidery v. Green* (1892) 95 Cal. 630, 633.)

"Generally, leave to amend must be liberally granted [Citation], provided there is no statute of limitations concern, nor any prejudice to the opposing party, such as delay in trial, loss of critical evidence, or added costs of preparation." (*Solit v. Tokai Bank* (1999) 68 Cal.App.4th 1435, 1448.)

A party opposing amendment must demonstrate that permitting the amendment will cause it to suffer prejudice. (*Rickley v. Goodfriend* (2013) 212 Cal.App.4th 1136, 1159; see also *Mesler v. Bragg Mgmt. Co.* (1985) 39 Cal.3d 290, 296-297.) "Motions to amend are appropriately granted as late as the first day of trial ... or even during trial ... if the defendant is alerted to the charges by the factual allegations, no matter how framed ... and the defendant will not be prejudiced.'" (*Rickley*, 212 Cal.App.4th at 1159 quoting *Honig v. Financial Corp. of America* (1992) 6 Cal.App.4th 960, 965.)

Trial is currently scheduled for February 2, 2026 – eight Court days from the date of the hearing on this motion.

Analysis

Defendant makes three general arguments as to why Plaintiff's request should be denied: (1) delay in seeking leave; (2) futility of the proposed amendment; and (3) prejudice to the Defendants.

Delay in Seeking Amendment

Plaintiff's counsel indicates that the late discovery responses that they received on July 16, 2025, provided, for the first time, the facts necessary to warrant the proposed amended complaint. Defendants note that given this admission, there was an unwarranted delay of approximately 150 days between when Plaintiff received those responses and when the motion for leave to amend was filed – on December 9, 2025 – almost 5 months later. As observed by Defendant, Plaintiff's counsel "offers no explanation for the delay." (Opp. at 3:12.)

In Reply, Plaintiff's counsel still fails to provide any explanation or reasoning for waiting so long to file the instant motion for leave to amend. Instead, they try to shift the focus back to Defendant's delayed discovery responses. Plaintiff argues that amendments "based on discovery disclosures, particularly disclosures produced only after a motion to compel, do not constitute inexcusable delay," citing *Hirsa v. Superior Court* (1981) 118 Cal.App.3d 486. *Hirsa*, however, makes no such finding. Nor does it discuss delayed discovery production or a motion to compel. Instead, *Hirsa*, addressed the issue of whether a later amended pleading can 'relate back' to the earlier pleading for statute of limitations purposes – which is not an issue currently before the Court.

The Court does find it concerning that Plaintiff's counsel waited so long to file the instant motion when they knew that trial was set for February 2, 2026, and has failed to provide any explanation for the delay. However, even if there is unreasonable delay, "it is an abuse of discretion to deny leave to amend where the opposing party was not misled or prejudiced by the amendment." (*Kittredge Sports Co. v. Superior Court* (1989) 213 Cal.App.3d 1045, 1048.) Prejudice will be discussed below.

Futility of Amendment

Defendant also argues that the proposed amendment would be futile as it fails to properly plead (and arguably cannot properly plead) the new cause of action for negligent entrustment.

It is true that certain situations would call for denial of leave to amend, such as when the “insufficiency of the proposed amendment is established by controlling precedent and where the insufficiency could not be cured by further appropriate amendment.” (*California Casualty Gen. Ins. Co. v. Superior Court* (1985) 173 Cal.App.3d 274, 280-81.) However, “the preferable practice would be to permit the amendment and allow the parties to test the legal sufficiency by demurrer, motion for judgment on the pleadings or other appropriate proceedings.” (*Kittredge Sports Co.*, *supra*, 213 Cal.App.3d at 1048 quoting *California Casualty Gen. Ins.*, *supra*, 173 Cal.App.3d at 281.)

To the extent Defendants believe the new cause of action is without merit, they can demur or move to strike any such claims or allegations.

Prejudice

“Where no prejudice is shown to the adverse party, the liberal rule of allowance prevails.” (*Higgins v. DelFaro* (1981) 123 Cal.App.3d 559, 564.) A party opposing amendment must demonstrate that permitting the amendment will cause it to suffer prejudice. (*Rickley*, *supra*, 212 Cal.App.4th at 1159; see also *Mesler*, *supra*, 39 Cal.3d at 296-297.)

Defendants contend that they will need to conduct new discovery and possibly obtain a new expert if leave to amend is granted. They (correctly) argue that this cannot be completed by the February 2, 2026, trial date – which is 8 court days after the date of this hearing. Both issues, however, can be remedied by vacating the trial date and re-opening discovery.

“In the furtherance of justice, trial courts may allow amendments to pleadings and if necessary, postpone trial. ... Motions to amend are appropriately granted as late as the first day of trial ... or even during trial ... if the defendant is alerted to the charges by the factual allegations, no matter how framed ... and the defendant will not be prejudiced.” (*Rickley*, *supra*, 212 Cal.App.4th at 1159.)

While Plaintiff does not mention vacating the trial date as a possible remedy, the Court finds that is the only way to ensure that Defendants are not prejudiced by Plaintiffs’ delayed motion for leave to amend made so close to the trial date.

Conclusion

“[I]t is a rare case in which ‘a court will be justified in refusing a party leave to amend his pleadings so that he may properly present his case.’” (*Morgan v. Superior Court of Los Angeles County* (1959) 172 Cal.App.2d 527, 530 quoting *Guidery v. Green* (1892) 95 Cal. 630, 633.) It is also “error to refuse permission to amend and where the refusal also results in a party being deprived of the right to assert a meritorious cause of action or a meritorious defense, it is not only error but an abuse of discretion.” (*Ibid.*)

Plaintiff’s motion for leave to amend is **granted**. As such the Court orders as follows:

- 1) The February 2, 2026, trial date is vacated.
- 2) Plaintiff must file his proposed First Amended Complaint within 5 court days of entry of this order.
- 3) Defendants' response thereto shall be filed per Code.

The Parties are ORDERED to appear at a Case Management Conference via Zoom on April 21, 2026 at 8:30 a.m. to discuss the scope of re-opening discovery and resetting of trial. The Parties shall meet and confer and propose mutually available trial dates to the Court in a Joint Case Management Conference statement filed at least five (5) calendar days before the CMC.

4. 9:00 AM CASE NUMBER: C24-00151
CASE NAME: BLACKHAWK OFFICE RE INVESTORS, LLC, A CALIFORNIA LIMITED LIABILITY COMPANY VS. BLACKHAWK COMMERCIAL OWNERS ASSOCIATION, A CALIFORNIA MUTUAL BENEFIT COMMON INTE

***HEARING ON MOTION IN RE: QUASH SUBPOENA**

FILED BY: RAMANUJAN GROUP, LLC, A DELAWARE LIMITED LIABILITY COMPANY

TENTATIVE RULING:

The hearing on Defendant Ramanujan Group LLC's Motion to Quash Subpoena issued to Preferred Bank, or in the Alternative, for a Protective Order, calendared for January 21, 2026 is **vacated** from the Court's calendar and referred to the Discovery Referee, Hon. Elizabeth Feffer (Ret.) for hearing and for a report and recommendation. The Parties are ordered to provide copies of the Motion and responses to the Discovery Referee forthwith. No appearance is required on January 21, 2026.

5. 9:00 AM CASE NUMBER: C24-01855

CASE NAME: MARION KULLBERG VS. TAYLOR KNIGHT

***HEARING ON MOTION IN RE: PROTECTIVE ORDER**

FILED BY: KULLBERG, MARION

TENTATIVE RULING:

Summary

The following discovery motion is scheduled to be heard on by the Court on January 21, 2026 at 9:00 a.m. in Department 16:

1. Plaintiff's Motion for Protective Order re Deposition of Minor Stella Elwin filed on September 25, 2025.

The Parties have also scheduled hearings on the following discovery motions in Department 16 at 9:00 a.m. on the following dates:

2. April 22, 2026: Defendant Corbin Knight's Motion for Protective Order re Deposition of Corbin Knight filed on December 10, 2025
3. May 6, 2026: Plaintiff's Motion to Compel Further Deposition of Thomas Knight and for sanctions filed on January 2, 2026;
4. May 6, 2026: Defendant Corbin Knight's Motion to Compel Further Testimony from Marion Kullberg and Stella Elwin and for sanctions filed on January 6, 2026.

The Court vacates all four (4) of the foregoing hearings on these discovery motions, and any other subsequently filed discovery motion, and appoints, *sua sponte*, a Discovery Referee to hear all of the foregoing discovery motions, and any and all subsequent discovery motions, filed by the Parties in this litigation as set forth in this tentative ruling.

Background

This action arises out of motor vehicle accident that occurred on March 4, 2024 in an unincorporated portion of Contra Costa County. Plaintiff Marion Kullberg alleges that she and her minor daughter, Stella Elwin, were injured in a major head-on collision motor vehicle accident caused by Defendant Taylor Knight, who was involved in a speed contest with her brother Corbin Knight. The Knight Defendants dispute liability. The four motions on calendar, along with the history of multiple challenges to the pleadings, suggests to the Court that the parties are unable to meaningfully resolve multiple discovery disputes informally.

Analyses

This Court maintains a judicial philosophy that discovery motions are overused and should be discouraged unless there is no compliance with the discovery statutes. Before making a motion to compel, counsel are advised to consider carefully whether doing so is truly worthwhile. “Motions to compel should be considered a last resort when trying to prepare a case for trial.” California Civil Discovery Practice (4th ed Cal CEB) §15.32.C.

Additionally, “trial courts generally have little tolerance for discovery motions because of a perception that the parties ought to be able to resolve many, if not most, discovery disputes without judicial intervention. But because legitimate discovery disputes do exist, motions to compel are sometimes justified. If a motion to compel becomes necessary, counsel should understand that busy trial courts will not often be able to spend much time analyzing complex discovery disputes.”

California Civil Discovery Practice (4th ed Cal CEB) §15.38.6. Here, Counsel appeared to have met and conferred, but are unable to resolve the discovery disputes before filing multiple motions against each other.

On motion of a party, stipulation of the parties, or *sua sponte*, a court may appoint a discovery referee to manage and rule on the discovery aspects of a case. See Cal. Code of Civ. Proc. §§639(a)(5), (b)–(d); Cal Rules of Ct 3.920–3.932, *Lu v Superior Court* (1997) 55 Cal.App.4th 1264 (trial court has authority to appoint discovery referee before discovery dispute arises to assist attorneys in creating efficient discovery plan).

Here, the Court finds, in its discretion, that such an appointment of a Discovery Referee is warranted under the circumstances of this case. The Court finds that the multiple discovery motions, the existing disputes raised by the pending discovery motions, the nature of underlying legal issues and the history of vigorous pleading litigation, requires discovery reference pursuant to Cal. Code of Civ. Proc. Section 639(a)(5), which states: “When the court in any pending action determines that it is necessary for the court to appoint a referee to hear and determine any and all discovery motions and disputes relevant to discovery in the action and to report findings and make a recommendation thereon.”

The Court finds that a discovery referee is necessary to hear and determine all disputes relevant to discovery. The Court makes this finding on the grounds that there are four (4) pending discovery motions on calendar in the matter, scheduled for January 21, 2026, April 22, 2026 and May 6, 2026. These motions and opposition filed to date consists of 591 pages. The Court further finds that, based on the intensity of the disputes, and the history of vigorous litigation about the pleadings in this case, Counsel are unable to effectively meet and confer to arrive an informal resolution of the discovery disputes.

After considering the moving and opposition papers submitted by Counsel, and analyzing the applicable statutory and decisional authorities, the Court finds good cause to make the following findings, orders and ruling.

Ruling

The Court appoints a Discovery Referee. The Court grants its motion, *sua sponte*, for the appointment of a Discovery Referee pursuant to Cal. Code of Civ. Proc. §§ 639(a)(5) and 640.

1. The Discovery Referee shall hear all disputes relevant to the discovery in the action and report findings and make a recommendation thereon. Specifically, the Discovery Referee shall hear the Discovery Motions scheduled for hearing on January 21, April 22, and May 6, 2026, and any and all subsequently filed discovery motions. The hearing on these discovery motions are **vacated** from Department 16's calendar and are referred for further hearing to the Discovery Referee for a report and recommendation.
2. By no later than January 28, 2026, the Parties are ordered to meet and confer pursuant to Cal. Code of Civ. Proc. § 640(a) or (b) and shall submit a stipulation and proposed order listing the proposed discovery referee to be appointed by the Court along with the proposed referee's *curriculum vitae* and fee schedule. If the Parties are unable to jointly agree to a proposed Discovery Referee, the Parties each shall submit the name of **one** proposed Discovery Referee and fee schedule along with his/her/their *curriculum vitae* to the Court by letter, e-mailed to dept16@contracosta.courts.ca.gov by close of business on February 2, 2026. The Court will then select one of the proposed referees by unreported minute order. The Discovery Referee will be requested to sign the Judicial Council ADR-110 form. Upon receipt of the executed form by the Discovery Referee, the Court will sign the ADR-110 form.
3. No party has established an economic inability to pay a pro rata share of the referee's fee and so the fees and costs for the initial retention of the Discovery Referee shall be split 50/50 between the parties. The Discovery Referee shall have the authority to make recommendations and proposed orders apportioning the fees, costs and sanctions relating to all discovery motions referred to the Discovery Referee.
4. Plaintiff's Counsel is directed to prepare and e-file a proposed order in compliance with all applicable law for the appointment of the referee, including Code Civ. Proc. § 639 that conforms to this ruling, approved as to form by Defendant's Counsel, attaching this tentative ruling no later than five (5) days after the hearing on this matter. Counsel are ordered to provide copies of all discovery motions and responses to the Discovery Referee within five (5) days of appointment.

5. The Clerk of the Court shall vacate all of Plaintiff's Discovery Motions calendared for January 21, April 22, and May 6, 2026. Any and all future discovery disputes shall be referred to the Discovery Referee until further orders of the Court.

6. The Parties are ordered to meet and confer and take all necessary steps to implement this order forthwith.

6. 9:00 AM CASE NUMBER: C24-01926
CASE NAME: PETER HO VS. CITY OF CITRUS HEIGHTS
HEARING ON DEMURRER TO: 1ST AMENDED COMPLAINT
FILED BY: CITY OF CITRUS HEIGHTS

TENTATIVE RULING:

Before the Court is a demurrer by the City of Citrus Heights to Plaintiff's first amended complaint. For the reasons set forth, the hearing on the demurrer is **continued** to **9:00 a.m. on February 25, 2026**.

The notice of demurrer and demurrer states that it is based on a request for judicial notice. The memorandum of points and authorities also refers to documents subject to the request for judicial notice. However, the request for judicial notice was not filed with the demurrer, nor does the Court have a proof of service on the demurrer pleadings indicating that a copy of the request for judicial notice was served on Plaintiff. The Court therefore continues the hearing to give the City the opportunity to file and serve the request for judicial notice, and for Plaintiff to file any supplemental opposition based on the documents included in the request for judicial notice.

The City shall file and serve the request for judicial notice in support of its demurrer **by January 28, 2026**. Plaintiff shall file and serve any supplemental opposition, not to exceed 15 pages, addressing the matters subject to the request for judicial notice **by February 13, 2026**.

7. 9:00 AM CASE NUMBER: C24-01992
CASE NAME: DOROTHY CAMON VS. CALIFORNIA STATEWIDE COMMUNITIES DEVELOPMENT AUTHORITY
HEARING ON DEMURRER TO: 1ST AMENDED COMPLAINT
FILED BY: CALIFORNIA STATEWIDE COMMUNITIES DEVELOPMENT AUTHORITY

TENTATIVE RULING:

The Court continues the hearing, *sua sponte*, on this Motion to February 18, 2026 at 9:00 a.m.. No appearance is required on January 21, 2026.

8. 9:00 AM CASE NUMBER: C24-02905
CASE NAME: JOSEPH SIMONI VS. AIDEN KEETON
HEARING ON DEMURRER TO: COMPLAINT
FILED BY: KEETON, AIDEN MICHAEL

TENTATIVE RULING:

The Court continues the hearing on this Motion, *sua sponte*, to February 4, 2026 at 9:00 a.m.. No appearance is required on January 21, 2026.

9. 9:00 AM CASE NUMBER: C24-02905
CASE NAME: JOSEPH SIMONI VS. AIDEN KEETON
*HEARING ON MOTION IN RE: STRIKE PUNITIVE DAMAGES
FILED BY: KEETON, AIDEN MICHAEL
TENTATIVE RULING:

The Court continues the hearing, *sua sponte*, on this Motion to February 4, 2026 at 9:00 a.m.. No appearance is required on January 21, 2026.

10. 9:00 AM CASE NUMBER: C24-03379
CASE NAME: NAGESWARA VELINEDI VS. CAPITAL BENEFIT, INC.
*HEARING ON MOTION IN RE: EXPUNGE LIS PENDENS AND REQUEST FOR ATTORNEY'S FEES AND COSTS IN THE AMOUNT OF \$4,150.00
FILED BY: CAPITAL BENEFIT, INC.
TENTATIVE RULING:

Before the Court is Defendants Capital Benefit, Inc., Provident Trust Group FBO George S. Simmons Rollover IRA #3900656 and Lawrence E. Elkins and Norma J. Elkins, Trustees and Lawrence C. Henig, Trustee's Motion to Expunge *Lis Pendens* and Request for Attorney's Fees and Costs ("Motion").

Defendants' unopposed request for judicial notice is **granted**. (Cal. Evid. Code § 452 (c), (h).)

Initial Consideration

"[E]lectronic exhibits **must include** electronic bookmarks with links to the first page of each exhibit and with bookmark titles that identify the exhibit number or letter and briefly describe the exhibit." (Cal. R. Ct. 3.1110 (f)(4) emphasis added.) Plaintiff's declaration in support of her opposition includes two exhibits. However, it fails to include bookmarks to each of the exhibits. Likewise, Defendant Total Lender Solutions' declaration includes exhibits without electronic bookmarks. Counsel is reminded to comply with the Rules of Court going forward.

Factual Allegations and Background

On May 15, 2023, Plaintiffs obtained a loan in the amount of \$590,000 ("Loan") from Defendants Provident Trust Group FBO George S. Simmons Rollover IRA #3900656 and Lawrence E. Elkins and Norma J. Elkins, Trustees and Lawrence C. Henig, Trustee ("Beneficiary Defendants"). The Loan was secured by a deed of trust recorded against real property located at 3391 Glencoe Circle in San Ramon, California (the "Property"). Defendant Capital Benefit, Inc. was the loan servicing agent for the Beneficiary Defendants. Pursuant to the Loan, Plaintiff was required to make monthly payments of just over \$6,000. The Loan was a junior loan on the Property, as there was another 'senior loan' already in place.

Plaintiff failed to make their first monthly payment which was due on July 1, 2023. Defendants began discussions with Plaintiffs regarding the default. As the default had not been remedied, the

Beneficiary Defendants recorded a Notice of Default and Election to Sell Under Deed of Trust (“NOD”) to be recorded on January 3, 2024. Plaintiffs promised to begin making monthly ‘catch up’ payments to cure the delinquencies in the Loan, so on April 12, 2024, the Beneficiary Defendants recorded a Notice of Rescission on the initial NOD.

When Plaintiffs failed to make the monthly ‘catch-up’ payments, the Beneficiary Defendants recorded a second NOD against the Property on May 13, 2024. On August 16, 2024, a Notice of Trustee’s Sale was recorded against the Property. The public auction was originally set for September 12, 2024.

On September 10, 2024, Plaintiffs and Beneficiary Defendants entered into a Forbearance Agreement. It obligated the Beneficiary Defendants to postpone the nonjudicial foreclosure sale to October 23, 2024, if Capital Benefit received a check from Plaintiffs in the amount of \$45,000 by September 10, along with other terms. The other term included requiring Plaintiffs to provide written proof each month that the senior loan on the Property was current.

As part of the Forbearance Agreement, Plaintiffs agreed that the NOD would not be rescinded and the foreclosure sale would not be cancelled. Instead, it would merely be extended month to month so long as payments were timely made. Per the terms of the Agreement, if there were any further breaches – such as failure to make timely monthly payments – then the “Trustee Sale shall proceed without further notice.”

Plaintiffs made the \$45,000 payment on or about September 9, 2024. The first monthly payment was due by October 10, 2024. Capital Benefit did not receive the first payment by October 10, 2024. It also did not receive written proof that the senior loan was current.

Plaintiff declares that she attempted to make the first monthly payment on October 9, 2024, through Capital Benefit’s website, but her account was locked. She then contacted Marcel Bruetsch at Capital Benefits and asked for a link to make the payment. She did not receive any link. She asserts that she had every intent to make the monthly payments under the Forbearance Agreement.

As the payment was not timely received, the Beneficiary Defendants moved forward with the nonjudicial foreclosure sale on October 23, 2024.

Plaintiff filed her complaint on December 13, 2024.

Legal Standard

“[A] lis pendens is recorded by someone asserting a real property claim, to give notice that a lawsuit has been filed which may, if that person prevails, affect title to or possession of the real property described in the notice.” (*Federal Deposit Ins. Corp. v. Charlton* (1993) 17 Cal.App.4th 1066, 1069, citing CCP §§ 405.2, 405.4, 405.20.) Under Code Civ. Proc. § 405.30, at any time after a notice of pendency of action has been recorded, any party with an interest in the real property may apply to the Court to expunge the notice.

“The expungement statutes provide that a lis pendens may be expunged on three grounds: (1) ‘the pleading on which the notice is based does not contain a real property claim’ (Code Civ. Proc., § 405.31); (2) ‘the claimant has not established by a preponderance of the evidence the probable validity of the real property claim’ (Code Civ. Proc., § 405.32); or (3) ‘adequate relief can be secured to the claimant by the giving of an undertaking’ (Code Civ. Proc., § 405.33).” (*Carr v. Rosien* (2015) 238

Cal.App.4th 845, 857.) Probable validity is met when the Plaintiff establishes her claim by a preponderance of the evidence. (Code Civ. Proc., § 405.32.)

“Unlike most other motions, when a motion to expunge is brought, the burden is on the party opposing the motion to show the existence of a real property claim.” (*Kirkeby v. Superior Court* (2004) 33 Cal.4th 642, 647 citing Cal. Code Civ. Proc. § 405.30.)

The party prevailing on an expungement motion must be awarded reasonable attorney fees and costs incurred in making or opposing the motion unless the court finds the other party acted with “substantial justification” or that other circumstances make the imposition of attorney fees and costs “unjust.” (Code Civ. Proc., § 405.38.)

Analysis

As noted above, a “lis pendens may be expunged if the action does not contain a real property claim **or** the claimant fails to establish the probable validity of the real property claim.” (*Newell v. Superior Court* (2024) 107 Cal.App.5th 728, 735 quoting *De Martini v. Superior Court* (2024) 98 Cal.App.5th 1269, 1275 emphasis added.)

Defendants do not argue that the Complaint does not state a real property cause of action. Indeed, they concede that the Complaint contains three ‘real property’ causes of action: wrongful foreclosure (5th CoA), cancellation of instrument (6th CoA), and declaratory relief (7th CoA). (Motion at 8:2-7.) Instead, the motion to expunge focuses on the second ground – *i.e.* that Plaintiffs have failed to establish the probable validity of those real property claims. As Plaintiff addresses the first ground in her opposition, the Court will address both situations.

Real Property Claim

As to the first ground, “the court must expunge a lis pendens if the court finds the pleading on which the lis pendens is based does not contain a real property claim.” (*Newell*, 107 Cal.App.5th at 735.) “In determining whether a pleading contains a real property claim, the court engages in ‘a demurrer-like analysis.’” (*Ibid.* quoting *Kirkeby v. Superior Court* (2004) 33 Cal.4th 642, 647-48.) “Rather than analyzing whether the pleading states any claim at all, as on a general demurrer, the court must undertake the more limited analysis of whether the pleading states a real property claim.” (*Kirkeby* 33 Cal.4th at 648 citations omitted.) “Review ‘involves only a review of the adequacy of the pleading and normally should not involve evidence from either side, other than possibly that which may be judicially noticed as on a demurrer.’” (*Ibid.* citations omitted.)

Plaintiff’s Complaint sets forth several causes of action which assert real property claims. As noted above, Defendants concede that the fifth, sixth, and seventh causes of action state real property claims. Plaintiff also asserts that the first cause of action for breach of contract – *i.e.* the deed of trust – states a real property claim. As there is at least one cause of action that asserts a real property claim, the first prong of the expungement analysis is met. As discussed more fully below, whether the breach of contract claim is deemed to be a ‘real property cause of action’ or not does not materially change the Court’s analysis as the basis for that claim is the same as the other real property claims. As such, the ‘probability of prevailing’ analysis is the same.

Based on the above, the Court finds that the Complaint that forms the basis of the lis pendens

contains a real property claim.

Probability of Prevailing

“If the claimant *does* plead a real property claim, but the claim pleaded has no evidentiary merit, the *lis pendens* must be expunged upon motion under [Code of Civil Procedure §] 405.32.’ [Citation.]” (*La Jolla Group II v. Bruce* (2012) 211 Cal.App.4th 461, 475; see also *Amalgamated Bank v. Superior Court* (2007) 149 Cal.App.4th 1003, 1011-1012.) Under section 405.32, “the court shall order that the notice be expunged if the court finds that the claimant has not established by a preponderance of the evidence the probable validity of the real property claim.” “Probable validity” means “it is more likely than not that the [plaintiff] will obtain a judgment against the defendant on the claim.” (Code of Civil Procedure §405.3.)

To determine probable validity the court must look beyond the Plaintiff’s pleadings and examine the factual merit of the claim – in effect, forecast the probable outcome at trial. In essence, the Code “requires a minitrial on the merits for making a probable validity finding, not a ‘quasi demurrer-like analysis.’” (*De Martini v. Superior Court* (2024) 98 Cal.App.5th 1269, 1280.) “Nothing in the statute indicates the claimant is only required to make a *prima facie* case regarding the probable validity of the real property claim. Rather, the statute expressly states the standard is preponderance of the evidence.” (*Ibid.* citing Cal. Code Civ. Proc. § 405.32.)

The essence of each of Plaintiff’s real property claims rests on the allegations that Defendants failed to send the Notice of Default and the Notice of Trustee’s Sale (NOTS) to Plaintiffs by personal delivery or certified mail. (Complaint at e.g. ¶¶ 36, 67, 75.)

Defendants present evidence that shows that the NOD and NOTS were indeed mailed to Plaintiffs by first class and certified mail. (Newman Decl. ¶¶ 5-6, Exs. 1-2.) Both the NOD and the NOTS include a “Declaration of Mailing” signed under penalty of perjury confirming they were sent to Plaintiffs, at their home address by first class, certified mail. (*Ibid.*)

The only evidence Plaintiffs submit in opposition is a statement in the declaration of Nageswara Velinedi that the “never received any notices from defendants regarding the foreclosure, a default of the deed of trust or a sheriff’s sale.” (Velinedi Decl. ¶ 12.) Initially, it is worth noting that there is no similar declaration from Plaintiff Sridevi Kota. As such, it is unclear that neither Plaintiff received any notice.

Even if there were a similar declaration, the law is clear that the “trustor need not receive *actual notice* of the trustee’s sale so long as notice is provided to the trustor that is in compliance with the statute.” (*Knapp v. Doherty* (2004) 123 Calp.App.4th 76, 88.) “As one court has held: “We pointedly emphasize, however, that Civil Code sections 2924-2924h, inclusive, do not require actual receipt by a trustor of a notice of default or notice of sale. They simply mandate certain procedural requirements reasonably calculated to inform those who may be affected by a foreclosure sale and who have requested notice in the statutory manner that a default has occurred and a foreclosure sale is imminent.” (*Ibid.* quoting *Lupertino v. Carbahal* (1973) 35 Cal.App.3d 742, 746-47.)

Defendants’ evidence shows that the notices were properly sent in accordance with the statutory and contractual requirements. Plaintiffs presented no evidence to rebut this proper service. The

declaration that Mr. Valinedi did not actually receive the Notices does not negate Defendants' evidence of proper service.

In addition to the above, Defendants present evidence that the Plaintiffs waived any claims regarding notice when they entered the Forbearance Agreement. (Bruetsch Decl. Ex. 2 at p. 2.) Written releases "are binding on the signatories and enforceable so long as they are ... 'clear, explicit and comprehensible in each [of their] essential details.'" (*Skrbina v. Fleming Cos.* (1996) 45 Cal.App.4th 1353, 1368 quoting *Powers v. Superior Court* (1987) 196 Cal.App.3d 318, 320.)

Based on the above, Plaintiffs have failed to establish their burden to show that they will more likely than not prevail on the alleged property claims, however they are titled.

Based on the above, Defendants' motion to expunge the lis pendens is **granted**.

Attorney Fees

California Code of Civil Procedure section 405.38 provides:

The court shall direct that the party prevailing on [a motion to expunge a lis pendens] be awarded the reasonable attorney's fees and costs of making or opposing the motion unless the court finds that the other party acted with substantial justification or that other circumstances make the imposition of attorney's fees and costs unjust.

Defendants request attorney fees in the amount of \$4,150.00 based on their time spent preparing the initial motion. In their moving papers, they note they expect to spend another 5 hours reviewing the opposition and preparing a reply, and 2 hours preparing for and arguing the motion. However, they limit the time they are actually seeking be awarded to the initial 8.3 hours spent on the initial motion – not any time spent on the reply and argument. They indicate their rate is \$500 per hour.

Plaintiffs do not oppose or even address this request in their opposition.

The Court finds that Defendants are the prevailing party as their motion is being granted. The Court also finds that Defendant's request for attorney's fees is reasonable. As such, the Court awards Defendant \$4,150 in attorney's fees.

Conclusion

Defendants' motion to expunge the lis pendens is **granted**. As the prevailing party, Defendants are awarded \$4,150 in attorneys' fees, payable within 30 days of entry of this order.

11. 9:00 AM CASE NUMBER: C25-01017

CASE NAME: STEVEN KENT VS. RICHARD KENT

***HEARING ON MOTION IN RE: FOR LEAVE TO FILE 2ND AMENDED COMPLAINT**

FILED BY: KENT, STEVEN JAMES

TENTATIVE RULING:

This hearing is moot and is **vacated**. The Parties submitted a Stipulation and Proposed Order to grant Plaintiff Steven James Kent leave to amend to file a Second Amended Complaint. The Court approved and executed this order on December 30, 2025. No appearance is required on January 21, 2026.

12. 9:00 AM CASE NUMBER: C25-01325

CASE NAME: FRUTOS LA AGUADA S.A. VS. EDUARDO RAMIREZ

HEARING ON DEMURRER TO: RE CAUSES OF ACTIONS 7-8 RE 1ST AMENDED COMPLAINT

FILED BY: THE FRESH CONNECTION, LLC

TENTATIVE RULING:

Before the Court is a demurrer by defendant The Fresh Connection, LLC to the seventh and eighth causes of action of Plaintiff's first amended complaint. For the reasons set forth, the general demurrers to the seventh and eighth causes of action are **sustained, with leave to amend**.

Background

In the operative first amended complaint ("FAC"), Plaintiff Frutos La Aguada S.A., a Chilean company, alleges it sold over \$445,000 worth of cherries on consignment to defendant The Fresh Connection, LLC ("TFC") for which it has not received payment. (FAC ¶¶ 3, 4, 11-13, 16-19 and Exhs. 1, 2.) Plaintiff's FAC alleges eight causes of action, including claims for breach of contract and other causes of action directed to the recovery of the value of the cherries provided by Plaintiff and the alleged agreement between Plaintiff and TFC. (FAC 1st-6th C/As.) Plaintiff also alleges a seventh cause of action for intentional misrepresentation and an eighth cause of action for negligent misrepresentation, the causes of action to which TFC demurs. The Court addresses the allegations specific to the seventh and eighth causes of action in more detail below.

Legal Standards for Ruling on Demurrer

In ruling on the demurrer, the Court must accept as true all well-pled factual allegations of the complaint, but not legal or factual conclusions or contentions of law. (*City of Dinuba v. County of Tulare* (2007) 41 Cal. 4th 859, 865; *Carloss v. County of Alameda* (2015) 242 Cal. App.4th 116, 123 [citing *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318]; *Czajkowski v. Haskell & White, LLP* (2012) 208 Cal.App.4th 166, 173 ["a demurrer does not admit the plaintiff's contentions nor conclusions of law or fact."].) In determining whether the FAC states a claim for relief, the Court gives "the complaint a reasonable interpretation, reading it as a whole and its parts in their context. [Citation omitted.]" (*Evans v. City of Berkeley* (2006) 38 Cal. 4th 1, 6.) The Court also considers matters of which the Court can properly take judicial notice. (*Carloss v. County of Alameda, supra*, 242 Cal.App.4th at 123.) In determining whether the complaint states a cause of action, the Court evaluates "whether a cause of action has been stated under any legal theory. [Citation omitted.]" (*Gomez v. Regents of University of California* (2021) 63 Cal.App.5th 386, 391.) (See also *Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 38-39.)

Note on Federal Authorities

Decisions of the federal courts other than the U.S. Supreme Court, whether published or not, are at most persuasive, nonbinding authority on matters of California substantive and procedural law. (*T.H. v. Novartis Pharmaceuticals Corp.* (2017) 4 Cal.5th 145, 175; *Beverage v. Apple, Inc.* (2024) 101 Cal.App.5th 736, 756, fn. 6.) The Court is bound to follow controlling published California case authority. (*Auto Equity Sales, Inc. v. Superior Court* (1962) 57 Cal.2d 450, 455-456; *ZF Micro Devices, Inc. v. TAT Capital Partners, Ltd.* (2016) 5 Cal.App.5th 69, 92.)

The federal case cited by TFC addressing the fraud pleading standard under the Federal Rules of Civil

Procedure (MPA ISO Dem. p. 4, ll. 20-24) did not address a fraud cause of action but held the Rule 9 pleading standards did not apply to the breach of fiduciary duty claim alleged in that case. (*Concha v. London* (9th Cir. 1995) 62 F.3d 1493, 1502-1503.) *Giles v. General Motors Acceptance Corp.* (9th Cir. 2007) 494 F.3d 865 cited by TFC on the economic loss doctrine applied Nevada law.

Analysis

A. Legal Framework and Elements of Intentional and Negligent Misrepresentation Claims

Civil Code section 1710 defines deceit. It includes "[t]he suggestion, as a fact, of that which is not true, by one who does not believe it to be true," "[t]he assertion, as a fact, of that which is not true, by one who has no reasonable ground for believing it to be true" or "[t]he suppression of a fact, by one who is bound to disclose it, or who gives information of other facts which are likely to mislead for want of communication of that fact." (Civ. Code § 1710, subd. 1, 2, and 3.)

1. Specificity Requirement

The elements of a cause of action for deceit are "'(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.'" [Citation omitted.]" (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638 [emphasis added].) Fraud must be pled with specificity, which requires a plaintiff to plead "facts" which show how, when, where, to whom, and by what means the representations were tendered. [Citations and internal quotation marks omitted.]" (*Id.* at 645.) Fraud claims against a corporate defendant require a plaintiff to allege the names of the persons who made the misrepresentations, their authority to speak for the corporate entity, who they spoke to, what they said or wrote, and when they said or wrote it. (*Id.*)

The specificity standard takes into account the difference between a claim based on affirmative misrepresentations and one based on concealment. (*Alfaro v. Community Housing Improvement System and Planning Assn., Inc.* (2009) 171 Cal.App.4th 1356, 1384 ["[I]t is harder to apply this rule to a case of simple nondisclosure. 'How does one show "how" and "by what means" something didn't happen, or "when" it never happened, or "where" it never happened?' "].) In addition, less specificity is required where the defendant would likely have more knowledge than the plaintiff. (*See also Chapman v. Skype, Inc.* (2013) 220 Cal.App.4th 217, 231 [cited in *Cisco Systems, Inc. v. STMICroelectronics, Inc.* (N.D. Cal. 2014 77 F. Supp.3d 887, 897 cited by defendant].)

2. False Promise

TFC characterizes Plaintiff's claim for deceit in the seventh cause of action as a claim for promissory fraud. That characterization may not be accurate based on the allegations of the FAC, as explained below. Nevertheless, the Court in *Beckwith v. Dahl* (2012) 205 Cal.App.4th 1039 stated the elements of a false promise claim: "'the complaint must allege (1) the defendant made a representation of intent to perform some future action, i.e., the defendant made a promise, and (2) the defendant did not really have that intent at the time that the promise was made, i.e., the promise was false. [Citation omitted.]" (*Id.* at 1060.) To state a claim for intentional misrepresentation based on a promise made without intent to perform, cross-complainants must allege circumstances that support an inference of a contemporaneous intention not to perform when the promise is made, to differentiate the alleged false promise from a simple breach of contract. (*Tenzer v. Superscope, Inc.*

(1985) 39 Cal.3d 18, 30.) (See also *Riverisland Cold Storage, Inc. v. Fresno-Madera Production Credit Assn.* (2013) 55 Cal. 4th 1169, 1183 ["Here, as in *Tenzer*, we stress that the intent element of promissory fraud entails more than proof of an unkept promise or mere failure of performance."].)

3. Concealment/Non-Disclosure and Fraudulent Inducement

Deceit can also consist of concealment or failure to disclose material facts. (*Lazar, supra*, 12 Cal.4th at 638; Civ. Code § 1710, subd. 3 [defining "deceit"].) "In transactions which do not involve fiduciary or confidential relations, a cause of action for non-disclosure of material facts may arise in at least three instances: (1) the defendant makes representations but does not disclose facts which materially qualify the facts disclosed, or which render his disclosure likely to mislead; (2) the facts are known or accessible only to defendant, and defendant knows they are not known to or reasonably discoverable by the plaintiff; (3) the defendant actively conceals discovery from the plaintiff." (*Bigler-Engler v. Berg, Inc.* (2017) 7 Cal.App.5th 276, 311.) "The required elements for fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact to the plaintiff; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would not have acted as he or she did if he or she had known of the concealed or suppressed fact; and (5) plaintiff sustained damage as a result of the concealment or suppression of the fact. [Citation omitted.]" (*Graham v. Bank of America, N.A.* (2014) 226 Cal.App.4th 594, 606.) (See also *Bigler-Engler, supra*, 7 Cal.App.5th at 310-311.)

B. Application to Seventh Cause of Action

TFC argues the seventh cause of action alleges promissory fraud; i.e., that TFC made a false promise by agreeing to buy and pay for the cherries ordered in the invoices attached to the FAC but made that promise without an actual intent to pay. The Court does not read the FAC as alleging promissory fraud. Liberally construing the allegations and considering whether the facts alleged state a cause of action under any legal theory, even if not as labeled by the plaintiff, the allegations may more properly be construed as intentional misrepresentation claim based on fraudulent inducement or fraudulent concealment/nondisclosure regarding Ramirez's and GPS' relationship with TFC. The issue is whether Plaintiff has alleged the claim with specificity as required under *Lazar*.

1. Plaintiff's Allegations Supporting the Cause of Action

Plaintiff alleges Ramirez acted as Plaintiff's contact with TFC, and on information and belief, that Ramirez is an employee or agent of TFC and GPS, held himself out as TFC's agent or employee, and was acting for the benefit of TFC and GPS. (FAC ¶ 14.) Plaintiff alleges it sent fresh cherries to TFC during the 2023-2024 cherry season and identifies a series of invoices reflecting the shipments dating from January 31, 2024 to February 25, 2024. (FAC ¶ 16.) Plaintiff alleges during the course of performance, Plaintiff's representative Jorge Gonzalez communicated with TFC's quality and procurement manager Ivan Covacevich. (FAC ¶ 20.) Exhibit 4 appears to be a list by date that includes names, including Covacevich, on several pages, which Plaintiff alleges show Covacevich's visits to the Frutizano plant in Chilen. (FAC ¶ 20 and Exh. 4.)

Plaintiff attaches What's App messages exchanged in January and February, and Plaintiff cites a specific message dated January 23, 2024 in which Plaintiff alleges Covacevich of TFC asked Plaintiff's representative Gonzalez about a particular shipment of cherries that Ramirez had told TFC's

Covacevich was being packed and shipped. (FAC ¶ 21 and Exh. 5.) The What's App messages attached to the FAC are in Spanish without a translation. Plaintiff alleges there were "multiple occasions" "before, during and after" the cherries shipped in which Plaintiff's representative Gonzalez and Plaintiff's general manager de Arce "referred to" Ramirez as an agent or employee of TFC to TFC's Covacevich "and other agents of TFC" which TFC never corrected. (FAC ¶ 22.)

In the remainder of this cause of action, Plaintiff alleges that TFC held Ramirez out as TFC's employee or agent authorized to act for TFC without any specific facts (FAC ¶¶ 50, 51), that TFC made the "knowing false representations" to induce Plaintiff to ship the cherries to TFC (FAC ¶ 52), that TFC knew the representations were false when made or made the representations with reckless disregard for their truth or falsity (FAC ¶ 53), and that as a direct result Plaintiff has been suffered damages of over \$445,000.

These allegations suggest the deceit consists of fraudulent inducement for Plaintiff to enter into the agreement to sell and ship the cherries to TFG based on a misrepresentation (or concealment or nondisclosure) regarding the relationship between Ramirez and GPS to TFC, rather than promissory fraud. (See in particular FAC ¶ 52 [alleging TFC made false representations "to induce Plaintiff . . . to enter into the engagement" described in the FAC of shipping fruit to TFC].) The facts alleged in the FAC may suggest that Plaintiff has some basis for alleging deceit based on a promise made without intent to perform when made but given the allegation regarding the false statements inducing Plaintiff to enter into the shipment arrangement, the allegations indicate Plaintiff is alleging a different form of deceit.

2. Lack of Specificity in the Allegations

The FAC does not clearly include any allegation connecting TFC's representative's visits to the fruit packing plant in Chile (Exh. 4) and affirmative misrepresentations made to Plaintiff about Ramirez and GPS and their relationship to TFC, or any failure to correct Plaintiff's understanding about Ramirez and GPS being agents or employees of TFC. Plaintiff does not clearly allege that the What's App messages (Exh. 5) contain any specific affirmative representations by Covacevich on behalf of TFC that Ramirez was TFC's agent, employee or representative. It is not clear whether Plaintiff is alleging the reference in the What's App message of January 23, 2024 to the cherry shipment Ramirez told Covacevich about can be so construed; the FAC does not clearly and specifically allege that Covacevich referred to Ramirez as TFC's agent in the January 23, 2024 What's App message or allege facts showing that the circumstances discussed in the January 23, 2024 regarding the packing and shipping signified that Ramirez was acting as TFC's agent based on the fact Ramirez was conveying information about the shipment. (FAC ¶ 21.)

Plaintiff never clearly alleges that TFC's representations regarding Ramirez's and GPS' relationship with TFC were false, or perhaps that TFC at least took the position with Plaintiff after the cherries were shipped and not paid for that Ramirez and GPS are not TFC's agents or employees. Whichever may be the fact Plaintiff intends to assert, the FAC, as pled, only makes such allegations by implication, stating somewhat obliquely that TFC's agents failed to "correct such reference," that TFC held out Ramirez and GPS out as an employee or agent of TFC, and that it made "these knowing false representations" to induce Plaintiff to ship the fruit. (FAC ¶¶ 22, 49, 52.)

The Court agrees that the allegations of paragraph 22 also lack specificity, in that Plaintiff does not

allege (a) any specific dates or specific time frames ("before, during and after" being essentially unlimited in time) in which Gonzalez and de Arce made such references to Ramirez as TFC's agent or employee "on multiple occasions", (b) the specifics of any communication with Covacevich in which the references to Ramirez as a TFC agent or employee were made by Plaintiff's Gonzales and de Arce that Plaintiff contends Covacevich did not correct (other than perhaps the January 23, 2024 What's App message which is deficient for the reasons stated above), (c) the identity of the "other agents," including any names, titles or job functions or descriptions to support their authority to act for TFC, and (d) the manner in which the references were made (orally by telephone or in person, by email, by text, or by some other writing) by Gonzalez and de Arce to Covacevich or "other agents" of TFC.

Though deficient for the reasons stated, paragraphs 20 through 22 have the most specific factual allegations regarding the intentional misrepresentations (or concealments or nondisclosures) by TFC on which the seventh cause of action is founded. Plaintiff argues that less specificity is required to plead a fraud claim " 'when "it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy." ' (Italics added; citations omitted.)" (*Wald v. TruSpeed Motorcars, LLC* (2010) 184 Cal.App.4th 378, 394.) The allegations that lack specificity, however, are not facts that TFC would necessarily have full information about. Facts regarding when either TFC affirmatively represented Ramirez was its agent or employee or Plaintiff's representatives made references to Ramirez as TFC's agent or employee that were not corrected, the manner in which the communications were made and to whom would presumably be more within Plaintiff's knowledge, either as the party to whom the affirmative misrepresentations were made or as the party who referred to Ramirez as TFC's employee or agent and the references were not corrected or Ramirez's status not disclosed in response.

The general demurrer to the seventh cause of action is **sustained, with leave to amend.**

C. Eighth Cause of Action

"The tort of negligent misrepresentation does not require scienter or intent to defraud. [Citation omitted.] It encompasses '[t]he assertion, as a fact, of that which is not true, by one who has no reasonable ground for believing it to be true' [citation omitted], and '[t]he positive assertion, in a manner not warranted by the information of the person making it, of that which is not true, though he believes it to be true' [citations omitted]." (*Small v. Fritz Companies, Inc.* (2003) 30 Cal.4th 167, 173-174 [quoting in part *Lazar, supra*, 12 Cal.4th at 638].) California does not recognize a cause of action for negligent misrepresentation based on a false promise. (*Hooked Media Group, Inc. v. Apple Inc.* (2020) 55 Cal.App.5th 323, 331; *Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal.Pp.4th 153, 159.)

1. Lack of Specificity

This cause of action is founded on the same allegations regarding false representations (or concealment or nondisclosure) in paragraphs 20-22 which the Court found deficient for the reasons stated at length above. (FAC ¶¶ 56, 57.) Plaintiff repeats the general allegations of paragraph 49 in paragraph 58 that TFC held out Ramirez as TFC's agent or employee with authority to act for TFC. Plaintiff alleges TFC made the "false representations without reasonable grounds for believe them to be true in order to induce Plaintiff to ship valuable fruit to TFC." (FAC ¶ 61.) Without specific foundational allegations as to the false representations (or instances of concealment or

nondisclosure), this cause of action also fails to allege the negligent misrepresentation claim as required by the specificity standards of the case law.

2. Economic Loss Rule

TFC also argues the negligent misrepresentation cause of action is barred by the economic loss rule. TFC relies on mostly federal cases, but cites *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979 and *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828. "The economic loss rule provides that, '[i]n general, there is no recovery in tort for negligently inflicted "purely economic losses," meaning financial harm unaccompanied by physical or property damage.' [Citation omitted.] For claims arising from alleged product defects, '[e]conomic loss consists of []damages for inadequate value, costs of repair and replacement of the defective product or consequent loss of profits—without any claim of personal injury or damages to other property[]' [Citation, internal quotation marks omitted.]" (*Dhital, supra*, 84 Cal.App.5th at 837.)

The California Supreme Court recently addressed the economic loss rule in *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1. The Court explained that the economic loss rule is a "specific application" of the "independent tort principle" doctrine differentiating between contract and tort obligations, which it describes in exhaustive detail. (*Rattagan, supra*, 17 Cal.5th at 37.) "[T]ort recovery for breach of a contract duty is generally barred . . . unless two conditions are satisfied. A plaintiff must first demonstrate the defendant's injury-causing conduct violated a duty that is independent of the duties and rights assumed by the parties when they entered the contract. Second, the defendant's conduct must have caused injury to persons or property that was not reasonably contemplated by the parties when the contract was formed." (*Id.* at 20-21.) "[T]o be held liable in tort, a defendant must commit a tort. If all the defendant has allegedly done is violate the terms of the parties' contract, depriving the plaintiff of the benefits the contract ensures, the defendant's liability is limited by the contract. Broader tort liability only arises if a defendant violates an independent legal duty and the type of harm that ensues was not reasonably contemplated or accounted for by the contractual parties." (*Id.* at 37.)

Rattagan holds claims grounded in fraudulent concealment are not barred by the economic loss rule, to the extent the concealment violates an independent legal duty and is not based solely on a breach of the contract terms. (*Rattagan, supra*, 17 Cal.5th at 30-38 [explaining the *Robinson Helicopter* decision] and 42-45 [claims based on fraudulent concealment and affirmative misrepresentations not barred].) The Court in *Dhital* addressed a claim for fraudulent inducement, and the Court held the complaint stated the fraud cause of action in that case, at least at the pleading stage. (*Dhital, supra*, 84 Cal.App.5th at 833, 844-845.) "In our view, that independence is present in the case of fraudulent inducement (whether it is achieved by intentional concealment or by intentional affirmative misrepresentations), because a defendant's conduct in fraudulently inducing someone to enter a contract is separate from the defendant's later breach of the contract or warranty provisions that were agreed to." (*Id.* at 841 [emphasis added].) (See also *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal. 5th 905, 923-924 ["Not all tort claims for monetary losses between contractual parties are barred by the economic loss rule. But such claims are barred when they arise from—or are not independent of—the parties' underlying contracts. [Citations omitted.]" (Emphasis added.)].)

Plaintiff's allegations may be construed as an attempt to allege negligent misrepresentation separate

from the performance or breach of the parties' contract and instead that were made to induce Plaintiff to enter into the contract, violating a legal duty the preceded and was independent of performance under the contract for the sale and shipment of the cherries. Based on *Robinson Helicopter, Sheen, Dhital, and Rattagan*, the economic loss rule does not necessarily bar the negligent misrepresentation claim Plaintiff attempts to allege here. (See *Rattagan, supra*, 17 Cal.5th at 38, 40 ["[F]rom a policy standpoint, there is no logical reason to distinguish among various species of actionable fraud committed while otherwise performing a contract, assuming the tort elements can be established independently of the contractual rights and obligations"].)

This conclusion is also consistent with two of the federal cases cited by TFC. In *Crystal Springs Upland Sch. v. Fieldturf USA, Inc.* (N.D. Cal. 2016) 219 F. Supp. 3d 962, the Court explained that "District courts in this circuit have applied *Robinson Helicopter* on a case-by-case basis to decide whether negligent misrepresentation claims are barred by the economic loss rule," citing among other decisions "*Bret Harte Union*, 2016 U.S. Dist. LEXIS 83295, 2016 WL 3519294, at **3-6 (collecting cases and holding that claims for negligent misrepresentation that allege contract formation was tortiously induced are per se permissible)." (*Id.* at 969 [emphasis added].) (See *Bret Harte Union High Sch. Dist. v. Fieldturf, USA, Inc.* (E.D. Cal. Jun 27, 2016), Case No. 16-cv-00371-DAD-SMS, 2016 U.S. Dist. LEXIS 83295, *1 at *16 ["Here, plaintiff's breach of contract claim alleges defendants failed to make good on their warranty when they failed to replace the field, whereas the negligent misrepresentation claim essentially alleges that plaintiff would not have entered into this contract absent alleged defendants' misrepresentations. This negligent misrepresentation claim sounds more in deceit/fraud than it does in negligence. As such, the court is not persuaded that plaintiff's negligent misrepresentation must be dismissed as it is pled." (Emphasis added.)].) The Court is not persuaded by the other federal trial level decisions cited by defendant on the economic loss rule to the extent they reach a different result from the decision in *Bret Hart*, which the Court finds to be more consistent with the governing law in the California decisions cited above.

The general demurrer to the eighth cause of action is **sustained, with leave to amend**.

13. 9:00 AM CASE NUMBER: C25-02393
CASE NAME: TOM SPIES VS. IRA HARRIS
HEARING IN RE: APPLICATION FOR PRELIMINARY INJUNCTION
FILED BY: SPIES, TOM
TENTATIVE RULING:

Plaintiffs Tom and Brenda Spies' motion for a preliminary injunction is **continued** to February 11, 2026.

The parties may file and serve a supplemental brief no later than February 2, 2026. The briefs shall be no more than 10 pages double spaced. Where possible the parties should provide citations to relevant statutes or case law.

The Court requests supplemental briefing on the following issues:

- 1) If Plaintiffs are attacking the renewed judgment, are they required to do so in the underlying case (N07-1969)? If they are allowed to attack the renewed judgment in this case, what is the procedural method for doing so?
- 2) Address how the declaratory relief claim would allow for a preliminary injunction here? Is the declaratory relief claim an attack on the renewed judgment? If so, is it a proper method for challenging a judgment or a renewed judgment?
- 3) Code of Civil Procedure section 683.170 provides 60 days to challenge a renewed judgment, but states it is not the exclusive remedy. Assuming that the Court finds that Plaintiffs met the requirements of Civil Code section 1504 in 2008, what is the procedural method (or methods) for challenging the addition of interest on the judgment? Is there a deadline to follow the procedure?
- 4) If the Court finds that the Moore & Baker invoice is not covered by the deed of trust, is it correct that the judgment covered the entire debt included in the deed of trust? In that situation, does Defendant have the option of nonjudicial foreclosure using the deed of trust or is he limited to pursuing the judgment using judgment enforcement procedures?
- 5) Has there been any indication that Defendant intends to foreclose on the Danville property? If so, are there any dates scheduled for foreclosure?

14. 9:00 AM CASE NUMBER: C25-02434
CASE NAME: MANISHA RANE VS. HYUNDAI MOTOR AMERICA,
***MOTION/PETITION TO COMPEL ARBITRATION**
FILED BY: HYUNDAI MOTOR AMERICA,
TENTATIVE RULING:

Defendant, Hyundai Motor America Corporation (“defendant” or “Hyundai”), moves the Court under both the California Arbitration Act (“CAA”) and the Federal Arbitration Act (“FAA”) to compel plaintiffs to arbitrate the claims set forth in their complaint, and to stay this action pending the outcome of arbitration. Because Hyundai has failed to establish that an enforceable arbitration agreement exists between itself and plaintiffs based on the Owner’s Handbook, and because the Connected Services Agreement is permeated by unconscionability, the motion is **denied**, as discussed below.

I. Background

Plaintiffs Manisha R. Rane and Anand B. Shah allege that on December 11, 2024 they purchased a 2024 Hyundai Sonata EV. (Shah Declaration, ¶13; Rane Declaration, ¶13; Complaint, ¶18.) Plaintiffs assert that the vehicle was delivered with serious defects including, but not limited to emission and engine system defects. (Complaint, ¶10.) Plaintiffs presented the vehicle for repairs on multiple occasions, but Hyundai was unable to conform the vehicle to the “applicable express warranty” after a reasonable number of repair attempts. (Complaint, ¶¶11-12, 26.) Plaintiffs allege the vehicle was not fit for its ordinary purpose because it was equipped with one or more defective

systems or components. (Complaint, ¶137.) Plaintiffs filed the present suit on August 26, 2025, alleging three causes of action under the Song-Beverly Act. In response, defendant filed this motion on September 29th.

Defendant's motion invokes the arbitration provisions found in a purported "Owner's Handbook & Warranty Information" and in a "Connected Services Agreement Terms and Conditions." In support of its motion, defendant provides a declaration from counsel, Jovanni Villa, who attaches the purported handbook, as well as plaintiff's complaint and defendant's demand for arbitration (Exhibits 2, 1, and 3, respectively). Defendant also provides a declaration from Vijay Rao, Hyundai's Director of Connected Ops & Owner Apps/Web, for Hyundai Motor America, Inc., who attaches the "Connected Services Agreement Terms and Conditions," as well as other documents he asserts are related to plaintiffs' purported agreement to the terms and conditions.

Plaintiffs oppose the motion, arguing defendant fails to show an agreement to arbitrate, that certain evidence is inadmissible, that the CSA does not cover their claims, and that the purported agreements are unconscionable. In support of the opposition, plaintiffs provide their own declarations and a declaration from counsel. Plaintiffs state they do not recall being "personally provided with a copy" of the Owner's Handbook, and that they were never informed about any arbitration provisions in the Owner's Handbook or being required to opt out within thirty days.

With its reply brief, defendant submits a declaration from Anthony Goel, a "Manager, Executive Case Management" at Hyundai, who states he is "familiar with [Hyundai]'s business practices as they relate to Hyundai vehicles" and that it is Hyundai's practice to place an Owner's Handbook in the glovebox of every vehicle sold through an authorized Hyundai dealership. (Goel Decl., ¶¶5, 7.) Goel further states that "after conducting a reasonable search of [Hyundai]'s records pertaining to arbitration opt-outs, Plaintiffs did not opt out of the Arbitration Agreement." (Goel Decl., ¶16.)

II. Evidentiary Matters

In support of the motion, Hyundai requests judicial notice of (1) plaintiffs' complaint, and (2) the "Hyundai 2024 Owner's Handbook and Warranty Information, Publication No. USAHYUNDAI-230727, Rev. 2023-07-27."

With respect to the complaint, the request is **granted**. With respect to the handbook, the request is **denied**. Hyundai does not state the purpose for its request. "Simply because information is on the Internet does not mean that it is not reasonably subject to dispute." (*Huitt v. Southern California Gas Co.* (2010) 188 Cal.App.4th 1586, 1605, fn. 10.)

Plaintiffs request judicial notice of federal regulations and legislative history concerning the Mangnuson-Moss Warranty Act. The request does not appear to be relevant to any argument made in the opposition. Accordingly, the request is **denied**.

Plaintiffs' objections to the evidence provided by defendant in support of the motion are ruled on as follows: **Objection nos. 1-3** (to counsel's statement purportedly identifying "Exhibit 2," to "Exhibit 2" itself, and paragraph 7 in the Rao Declaration stating plaintiffs enrolled their vehicle in Bluelink service) **are sustained**, **objection. 4** (a hearsay objection to a screenshot from the Bluelink enrollment process) **is overruled**.

III. Standard

A written agreement to submit to arbitration an existing controversy or a controversy

thereafter arising is valid, enforceable and irrevocable, save upon such grounds as exist for the revocation of any contract. (Code Civ. Proc., § 1281.) The party seeking arbitration bears the burden of proving the existence of an arbitration agreement. (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC*, hereinafter “Pinnacle,” (2012) 55 Cal.4th 223, 236.) In California, contract formation requires free and mutual consent communicated to each other. (Civ. Code, § 1565.) Mutual assent is determined under an objective standard applied to the outward manifestations or expressions of the parties. (*Esparza v. Sand & Sea, Inc.* (2016) 2 Cal.App.5th 781, 788.)

“[A] court, before granting a petition to compel arbitration, must determine the factual issue of 'the existence or validity of the arbitration agreement. In this way, a court's role, though limited, is critical. There is indeed a strong policy in favor of enforcing agreements to arbitrate, but there is no policy compelling persons to accept arbitration of controversies which they have not agreed to arbitrate and which no statute has made arbitrable.” (*Toal v. Tardif* (2009) 178 Cal.App.4th 1208, 1219-1220.)

Once the party seeking to compel arbitration has alleged the agreement exists, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement. (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165.) The opposing party can do this in several ways. For example, the opposing party may testify under oath or declare under penalty of perjury that the party never saw or does not remember seeing the agreement, or that the party never signed or does not remember signing the agreement. (*Ibid.*) If the opposing party meets its burden of producing evidence, then in the third step, the moving party must establish with admissible evidence a valid arbitration agreement between the parties. (*Ibid.*)

IV. Analysis

Defendant’s motion contends there are two different arbitration agreements that compel arbitration here: that found in the Owner’s Handbook (Villa Decl. ¶13, Ex. 2) and that found in the CSA Terms & Conditions, to which customers purportedly must agree in order to enroll in Bluelink services (Rao Decl. ¶120, Ex. E).

A. Owners Handbook

1) Whether Agreement Was Formed

With respect to the Owner’s Handbook, counsel’s declaration in support of the motion infers (but does not actually state) that plaintiffs purchased a vehicle and received a manual that included an arbitration agreement. Exhibit 2 to the declaration is a document simply described as “Plaintiffs’ 2024 Owner’s Handbook & Warranty Information.” (Villa Decl., ¶13, Ex. 2.) The exhibit contains arbitration requirements to which plaintiff must affirmatively opt out within 30 days.

Plaintiff responds that the attorney’s moving declaration includes no information about the source of the document, or any personal foundation for how counsel knows that the attached exhibit is a document that applies to plaintiff. Perhaps more importantly, Hyundai provides insufficient evidence of acceptance by plaintiffs. (See *Norcia v. Samsung Telecommunications America, LLC* (9th Cir. 2017) 845 F.3d 1279, 1288-1290 [Ninth Circuit found arbitration provision in a warranty brochure to be insufficient to form an agreement to arbitrate with the consumer: “warranty generally does not impose any independent obligation on the buyer outside of the context of enforcing the seller's promises.”])

Hyundai responds on reply by arguing that no evidence is necessary under *Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, but that it is submitting the Goel Declaration, nonetheless. (See Response to Plaintiffs' Evidentiary Objections in Support of Motion.)

If anything, the Declaration of Anthony Goel highlights the lack of notice issue with respect to the arbitration provisions in the warranty. The declaration indicates only that a "handbook" for "owners" is placed in the glovebox of Hyundai vehicles sold at Hyundai's authorized dealerships. This does not suggest that any buyer of a Hyundai vehicle has read the arbitration clause before purchasing. The public website linked in Mr. Goel's declaration does not specify anything about arbitration unless one scrolls to the very bottom of the page (beneath all relevant information concerning what sort of warranty is provided) to the section entitled, "Additional Warranty Resources," and *downloads* a PDF that contains the entire handbook. This does not conform with reasonable consumer behavior.

A consumer is "not bound by inconspicuous contractual provisions of which he was unaware, contained in a document whose contractual nature is not obvious." (*Sellers v. JustAnswer LLC* (2021) 73 Cal.App.5th 444, 461.) Notice is the touchstone for assent to a contract, and in order to establish mutual assent, there must be actual or constructive notice of the agreement. (*Marin Storage & Trucking, Inc. v. Benco Contracting & Engineering, Inc.* (2001) 89 Cal.App.4th 1042, 1049-1050.)

"[I]n the absence of actual notice, a manifestation of assent may be inferred from the consumer's actions . . . but any such action must indicate the parties' assent to the same thing, which occurs only when the [provider] puts the consumer on constructive notice of the contractual terms." (*Sellers, supra*, 73 Cal.App.5th at 461; accord, *Herzog v. Superior Court* (2024) 101 Cal.App.5th 1280, 1293-1294.)

No such notice has been shown here. Thus, regardless of any apparent manifestation of consent by using the vehicle and taking it in for repairs, plaintiffs are "not bound by [the subject] inconspicuous contractual provisions of which [they were] unaware, contained in a document whose contractual nature is not obvious." (*Sellers, supra*, 73 Cal.App.5th at 461; *Herzog, supra*, 101 Cal.App.5th at 1293-1294.)

Plaintiffs properly objected to the introduction of the handbook (which was only attached to counsel's declaration) based on lack of foundation and hearsay. Those objections were sustained. Plaintiffs' declarations indicate they were not shown a copy of the warranty or otherwise informed by the dealer about an arbitration provision in the Owner's Handbook, and that they were not told to opt out of arbitration within 30 days if they desired to do so. (Rane Decl., ¶¶4-5; Shah Decl., ¶¶4-5 ["prior to this Motion, I was completely oblivious to the post-sale "Arbitration Agreement" that is buried within the Owner's Handbook".]) The declarations sufficiently challenge the existence of an agreement such that defendant must present admissible evidence to show such agreement exists.

While *Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, and California Rules of Court, rule 3.1330, decrease the *initial* burden on a party moving to compel arbitration, the court in *Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158 explains the implications of that decision. Quoting *Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 846, the court notes that "[p]roperly understood, *Condee* holds that a petitioner is not required to authenticate an opposing party's signature on an arbitration agreement as a *preliminary* matter in moving for arbitration or in the event the authenticity of the signature is not challenged." (*Gamboa, supra*, 72 Cal.App.5th at 168.)

Addressing defendant's argument with respect to estoppel, the application of equitable

estoppel principles might apply if plaintiffs had been put on notice of the arbitration agreement in the handbook prior to purchasing the vehicle and using it. But the facts here indicate otherwise. Aside from plaintiffs' own declarations stating they were not aware of it, or the opt-out requirements, the arbitration provisions appear in the "Owner's Handbook" suggesting one would not receive notice until after becoming the "owner" of the vehicle. Defendant has therefore failed to demonstrate mutual assent to arbitration.

In general, "[w]hen a plaintiff brings a claim which relies on contract terms against a defendant, the plaintiff may be equitably estopped from repudiating the arbitration clause contained in that agreement." (*JSM Tuscany, LLC v. Superior Court* (2011) 193 Cal.App.4th 1222, 1239.) Here, however, plaintiffs expressly deny reliance on the written terms of the warranty that appear in the handbook as the basis for their claims.

Hyundai does not show an arbitration agreement under the provisions in the Handbook.

B. Blue Link Connected Services Agreement

1) Whether Agreement Was Formed

As to the terms and conditions of the clickwrap CSA, they do contain a "Binding Arbitration" provision within Section 23, entitled "Resolving Disputes." The purported agreement any "Dispute," defined as follows:

[A]ny legal claim or controversy arising out of, or relating to, these Terms and Conditions or breach of the New Vehicle Limited Warranty, as well as any claim or controversy regarding the applicability, enforceability, or validity of any provision of these Terms and Conditions and the New Vehicle Limited Warranty.

Plaintiffs have properly objected to the statement in paragraph 7 of Rao's declaration, that they enrolled their vehicle in Bluelink services. The Court has sustained the objection. Still, Rao also states that he is attaching an excel spreadsheet showing that plaintiffs assented. Plaintiffs do not object to the spreadsheet (Exhibit D), requiring the Court to proceed with analysis of the plaintiffs' unconscionability argument.

2) Unconscionability

Plaintiff asserts that the arbitration agreement in the CSA is unconscionable and bears the burden to prove this defense. (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126.) A contract is unconscionable if one of the parties lacked a meaningful choice in deciding whether to agree and the contract contains terms that are unreasonably favorable to the other party. (*Id.* at 125.) To prevail on an unconscionability defense, a party must establish both a procedural element and a substantive element. (*Ibid.*) The procedural element addresses the circumstances of contract negotiation and formation, focusing on oppression or surprise due to unequal bargaining power. (*Ibid.*) Substantive unconscionability pertains to the fairness of an agreement's actual terms and to assessments of whether they are overly harsh or one-sided. (*Ibid.*)

a) Procedural Unconscionability

As to procedural unconscionability, plaintiffs present little evidence as to the negotiation and formation of the contract (plaintiffs indicate the dealer representative said the vehicle was "already warranted under Defendant's express warranty"), but Hyundai's evidence indicates a classic adhesion

contract. Plaintiff must have clicked a check box next to the following statement in very small font:

By checking this box, I agree to the collection, use, disclosure, and processing of my personal information, including precise geolocation information and other sensitive personal information, *as described in* the Vehicle Technology and Services Privacy Notice and Connected Services Terms & Conditions.

(Rao Decl., Ex. D, emphasis added.)

The text infers that the relevance of the links is described by the statement, in other words that the Connected Services Terms & Conditions “describe” the “collection, use, disclosure, and processing of [] personal information.” The statement does not suggest the enrollee is agreeing to arbitrate disputes arising from the warranty claims or implied warranty claims.

The checkbox appears to be one of three boxes that must be checked in order to activate Bluelink services. This further demonstrates that the arbitration provisions are difficult to locate, and that plaintiffs had little to no opportunity to negotiate the terms of the contract. The arbitration provisions, purportedly covering all disputes stemming from the warranty or the CSA, are near the end of an agreement over 30 pages long. (See Opposition, 18:6-27 [erroneously stating the contract is 16 pages long].) The CSA is highly procedurally unconscionable here based on the adhesive nature of the agreement and element of surprise.

b) Substantive Unconscionability

Turning to substantive unconscionability, plaintiff points to attorney fee provisions that would purportedly contradict the Song Beverly Act’s fee provisions favoring plaintiffs, as well as to the shortened statute of limitations which requires “ANY CLAIM AGAINST HYUNDAI OR GENESIS (OR ANY OTHER THIRD PARTY BENEFICIARY)” to be brought within “ONE YEAR AFTER THE CLAIM ARISES.”

Hyundai, in its reply, points out that the specific phrasing about fees is not in this agreement. It also attempts to distinguish the cases cited by plaintiff relating to shortened statutes of limitations.

As to fees, Hyundai argues plaintiff’s argument relates to language absent from the CSA. This is correct, but the Court notes the CSA limits Hyundai’s liability to \$500 or the total amount paid for connected services during the 12 months preceding a claim, “UNDER ANY THEORY (INCLUDING BUT NOT LIMITED TO FRAUD, MISREPRESENTATION, BREACH OF CONTRACT, PERSONAL INJURY, OR PRODUCTS LIABILITY).” (Rao Decl., Ex. E, ¶20.5 [“THE MAXIMUM AGGREGATE LIABILITY OF HYUNDAI”].) These fee provisions are substantively unconscionable.

As to the statute of limitations, the Court finds plaintiff’s authorities persuasive. In *Fisher v. MoneyGram International, Inc.* (2021) 66 Cal.App.5th 1084, the appellate court held that a provision reducing a four-year statute of limitations to one-year was substantively unconscionable. Song-Beverly Act warranty claims are subject to a four-year statute of limitations. (*Krieger v. Nick Alexander Imports, Inc.* (1991) 234 Cal.App.3d 205, 213-215.) Shortening the limitations period to one year significantly limits the period to bring claims. Thus, the facts here are analogous to the facts at issue in *Fisher*.

Further, in *Gostev v. Skillz Platform, Inc.* (2023) 88 Cal.App.5th 1035, the court pointed to several nonmutual terms, “including, most notably, the requirement that only the plaintiff arbitrate his claims against the defendant, in its determination that the agreement was substantively unconscionable.” The comparison is apt. Here, the CSA only limits Hyundai’s monetary liability and only limits the time limits on claims brought by plaintiff.

Both the shortened one-year statute of limitations provision, as well as the one-sided limitation on liability cause the CSA to be permeated by substantively unconscionable terms.

The CSA is accordingly unconscionable and incapable of severance.

15. 9:00 AM CASE NUMBER: C25-02683
CASE NAME: ASCENT INVESTMENTS COMPANY LLC VS. PREMDIP DHOOT
HEARING IN RE: APPLICATION AND HEARING FOR RIGHT TO ATTACH ORDER AND ORDER FOR
ISSUANCE OF WRIT RE: HD 2670 WALNUT BLVD MEMBER, LLC AND PREMDIP S. DHOOT
FILED BY: ASCENT INVESTMENTS COMPANY LLC

TENTATIVE RULING:

The Court continues Plaintiff Ascent Investments' hearing for a Right to Attach Order and Order for Issuance of a Writ, filed on November 3, 2025, *sua sponte*. The Court exercises its discretion to consider and review the late opposition filed by Defendants. This hearing is continued to March 11, 2026 at 9:00 a.m. Plaintiff's reply brief is due five (5) court days prior to the hearing. No appearance is required at the hearing on January 16, 2026.

Discovery Law & Motion

16. 9:01 AM CASE NUMBER: C23-01038
CASE NAME: DELVAN KITCHING VS. CARYN CASS
***HEARING ON MOTION FOR DISCOVERY COMPEL FURTHER AND AMENDED RESPONSES TO**
REQUEST FOR ADMISSIONS, SET ONE
FILED BY: KITCHING, DELVAN

TENTATIVE RULING:

The Discovery Motions for Lines 16, 17, 18 were vacated per the Court's Order appointing a Discovery Referee filed on January 14, 2026. No appearance is required on January 21, 2026. .

17. 9:01 AM CASE NUMBER: C23-01038
CASE NAME: DELVAN KITCHING VS. CARYN CASS
***HEARING ON MOTION FOR DISCOVERY COMPEL FURTHER AND AMENDED RESPONSES TO**
REQUEST FOR FORM INTERROGATORIES, SET ONE
FILED BY: KITCHING, DELVAN

TENTATIVE RULING:

See Line 16.

18. 9:01 AM CASE NUMBER: C23-01038
CASE NAME: DELVAN KITCHING VS. CARYN CASS
***HEARING ON MOTION FOR DISCOVERY COMPEL FURTHER AND AMENDED RESPONSES TO**
REQUEST FOR SPECIAL INTERROGATORIES, SET ONE
FILED BY: KITCHING, DELVAN

TENTATIVE RULING:

See Line 16.